	Forfeited shares A/c	Dr.		500	
	To Capital reserve A/c				500
	(Gain on reissue of forfeited shares transferred to capital reserve account)				

Working note:

Forfeited amount for 150 shares = ₹ 900

Forfeited amount for 100 shares = $\frac{900}{150} \times 100$ = ₹ 600

Gain or loss = Amount forfeited– loss on reissue

= 600 – 100

Net gain = ₹ 500

Illustration 12

Gemini Ltd. forfeited 20 equity shares of ₹ 10 each, ₹ 7 called up, on which Mahesh had paid application and allotment money of ₹ 5 per share. Of these 15 shares were reissued to Naresh by receiving ₹ 6 per share paid up as ₹ 7 per share. Pass journal entries for forfeiture and reissue.

Solution

In the books of Gemini Ltd.

Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Equity share capital A/c	(20 × 7) Dr.		140	
	To Equity share first call A/c	(20 × 2)			40
	To Forfeited shares A/c	(20 × 5)			100
	(Forfeiture of 20 shares, ₹ 7 called up)				
	Bank A/c	(15 × 6) Dr.		90	
	Forfeited shares A/c	Dr.		15	
	To Equity share capital A/c	(15 × 7)			105
	(Reissue of 15 forfeited shares @ ₹ 6 per share)				
	Forfeited shares A/c	Dr.		60	
	To Capital reserve A/c				60
	(Gain on reissue of forfeited shares transferred to capital reserve account)				

Note: Computation of transfer to capital reserve

Forfeited amount for reissued shares of 15 = $\frac{100}{20} \times 15$ = 75

Less: Loss on reissue 15

Transfer to capital reserve 60

Remaining balance in shares forfeited account ₹ 25 will appear in the balance sheet.

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